



KUMARAGURU
COLLEGE OF TECHNOLOGY

NAAC (National Assessment and
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24ADT015 FINANCE, ECONOMICS AND MARKETING

**Unit -3 Financial Statement Analysis & Cash-Flow
Management**

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Contents

- Operating vs. financing & investing cash flows;
- Preparation of the Statement of Cash Flows (IND-AS 7);
- Working-capital management;
- Ratio analysis—liquidity, leverage, profitability, efficiency;
- Advanced cash-flow metrics (EBITDA, FCF, EVA);
- Brief introduction to valuation multiples.

Exhibit 1

The statement of cash flows assigns all potential sources of cash flow and uses of cash to operating, investing, or financing activities

Operating Activities	Investing Activities	Financing Activities
Net Income	Capital expenditures	Borrow & repay debt
Non-cash charges	Acquisitions	Issue & repurchase shares
Gains & losses	Proceeds from sale of assets	Pay dividends
Changes in working capital		
Change in Cash Balance During the Period		



OPERATING CASH FLOW

Net Earnings	\$15,474 mln
Plus: Depreciation & Amortization	19,500 mln
Accrued expenses	9,003 mln
Cash from Operations	25,971 mln



INVESTING CASH FLOW

Investments in Property & Equipment	(15,000 mln)
Cash from Investing	(15,000 mln)



FINANCING CASH FLOW

Issuance (repayment) of debt	(8,000 mln)
Issuance (repayment) of equity	170,000 mln
Cash from Financing	162,000



NET INCREASE (DECREASE) IN CASH	172,971 mln
Opening Cash Balance	11,000 mln
Closing Cash Balance	\$183,971 mln

FREE CASH FLOW	10,971 mln
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Operating Activities

Cash Inflows

- + Sales of Goods or Services
- + Interest Received
- + Dividends Received

Cash Outflows

- Salary & Wages
- Supplier Payments
- Interest Payments
- Income Taxes

+

Investing Activities

Cash Inflows

- + Sale of Long Term Investments
- + Sale of Property, Plant & Equipment

Cash Outflows

- Purchase of Property, Plant & Equipment
- Purchase of Long Term Investments

+

Financing Activities

Cash Inflows

- + Issuance of Company Shares
- + Receiving a Bank Loan

Cash Outflows

- Loan Principal Payments
- Cash Dividend Payouts
- Repurchase of Company Shares

=

Net change in cash balance during the period

Understanding IND-AS 7: Statement of Cash Flows

Cash flow

Cash flow	\$5,700
Wholesale	\$,5000
Contracted Dealer	\$,600 + 3, 800 +
Development Land	\$,55, 00 +
Tether	3, 44, 000 +
Musical Public	\$3, 500 +
	\$5, 705

Promotion

Operating Activities

Core business cash inflows and outflows from day-to-day operations

Investing Activities

Cash flows from acquisition and disposal of long-term assets

Financing Activities

Changes in equity capital and borrowings affecting company structure

Activate Windows
Go to Settings to activate Windows.

Preparing the Statement of Cash Flows: Key Principles

01

Operating Activities

Receipts from customers, payments to suppliers, employee salaries, and interest payments

02

Investing Activities

Purchase of property, plant & equipment, acquisitions, and disposal of investments

03

Financing Activities

Issuing shares, loan proceeds, dividend payments, and debt repayments

-  Under IND-AS 116, lease interest payments must be separately disclosed under financing activities for compliance



Activate Win
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Working Capital Management: The Lifeblood of Operations

Working Capital = Current Assets – Current Liabilities

Efficient working capital management ensures adequate liquidity whilst maintaining operational efficiency. It directly impacts cash flows and determines a company's ability to meet short-term obligations.

Inventory Management

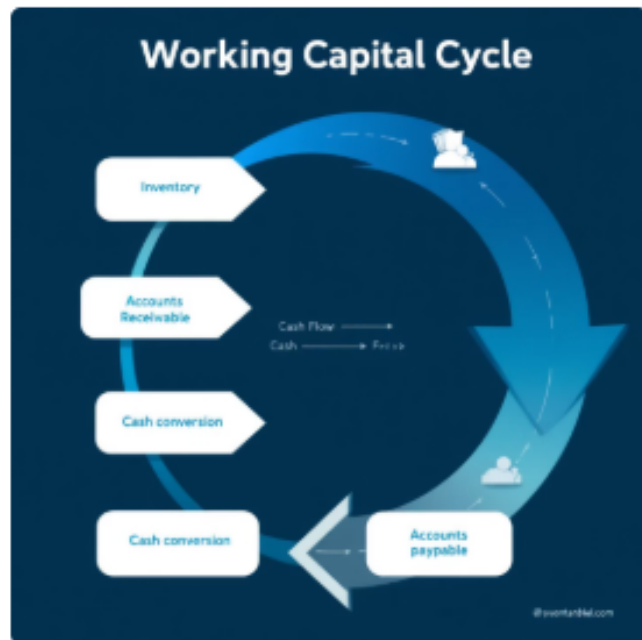
Optimising stock levels to reduce carrying costs whilst avoiding stockouts

Trade Receivables

Accelerating collections through credit policies and payment terms

Trade Payables

Managing supplier payments to optimise cash flow timing



Ratio Analysis: Evaluating Financial Health



Liquidity Ratios

Current Ratio, Quick Ratio

Measure short-term solvency and ability to meet immediate obligations



Leverage Ratios

Debt to Equity, Interest Coverage

Assess financial risk and debt management capability



Profitability Ratios

ROA, Net Profit Margin

Evaluate earnings efficiency and overall profitability performance



Efficiency Ratios

Inventory Turnover, Receivables Turnover

Indicate how effectively assets are being utilised

Advanced Cash Flow Metrics: Beyond the Basics

1

EBITDA

Earnings Before Interest, Taxes, Depreciation & Amortisation - serves as a proxy for operating profitability and cash generation potential

2

Free Cash Flow (FCF)

Cash generated after capital expenditures - critical metric for valuation, debt servicing capability, and dividend sustainability

3

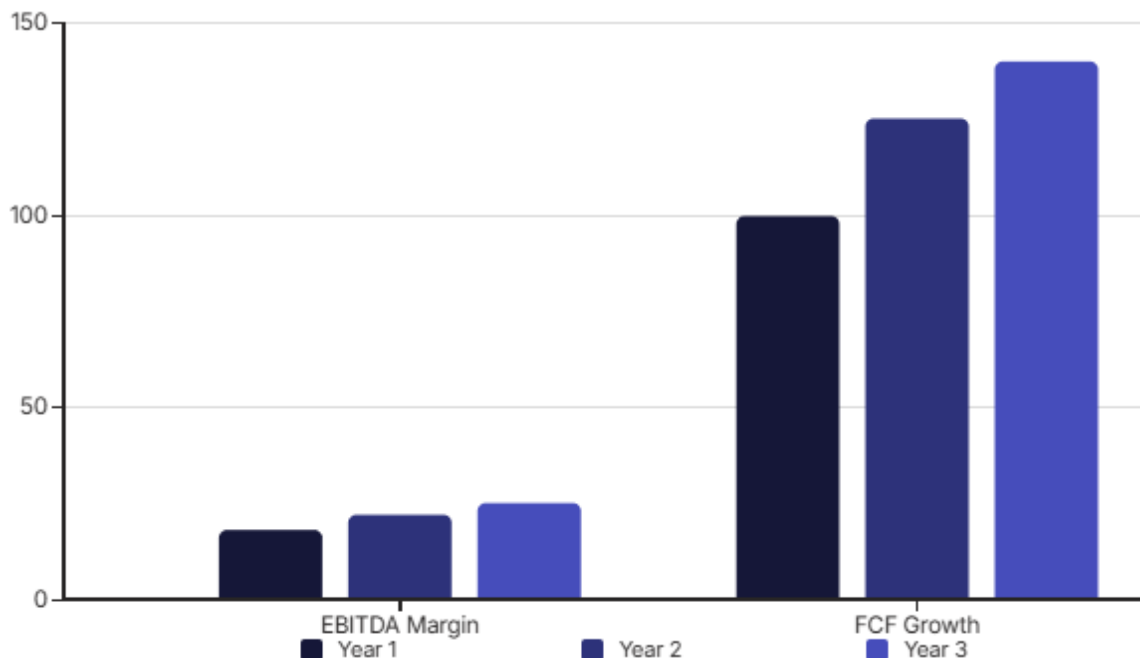
Economic Value Added (EVA)

Measures value created beyond cost of capital: $EVA = NOPAT - (Capital \times WACC)$



Visualising Cash Flow Metrics: Real-World Example

Company XYZ Performance Analysis



Company XYZ demonstrates strong financial improvement with EBITDA margin growing from 18% to 25% over three years. Free cash flow increased by 40%, enabling strategic debt reduction and consistent dividend payments. Positive EVA for five consecutive years signals sustained value creation.

Introduction to Valuation Multiples



Simplifying Company Valuation

Valuation multiples provide a straightforward method for comparing market values to fundamental financial metrics across companies and industries.

P/E Ratio

Price to Earnings - measures market premium relative to annual profits

EV/EBITDA

Enterprise Value to EBITDA - compares total company value to operating earnings

P/B Ratio

Price to Book - assesses market value relative to accounting book value

Linking Cash Flows & Ratios to Valuation

1

Strong Operating Cash Flows

Consistent cash generation from core operations builds investor confidence

2

Healthy Financial Ratios

Strong liquidity and manageable leverage indicate financial stability

3

Premium Valuations

Markets reward quality with higher multiples and share prices

High free cash flow combined with low leverage typically commands premium EV/EBITDA multiples. Investors focus on sustainability and quality of earnings reflected in comprehensive cash flow analysis.



Conclusion: Integrating Financial Analysis for Informed Decisions

IND-AS 7 Compliance
Provides transparency on liquidity
and cash generation capabilities

Value Creation
Drive informed decisions that
generate sustainable growth



Working Capital & Ratios
Reveal operational efficiency and
financial stability indicators

Advanced Metrics
Enable sophisticated valuation and
investment analysis

Mastery of these interconnected financial tools empowers professionals to make robust investment and management decisions, ultimately driving sustainable value creation and business growth.